

Jet2 PLC JET2

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by

moneytr33

			2026	2027
Price:	14.37	EPS	2.08	0
Shares Out. (in M):	191	P/E	6.9	0
Market Cap (in \$M):	3,644	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	585	0
TEV (in \$M):	971	TEV/EBIT	1.7	0

Description

Summary

Jet2 is the UK's largest package holiday operator and its 3rd largest airline, trading at 6.9x trailing earnings with no net debt under the most punitive view of its balance sheet. The company just finished a year in which it absorbed a new base launch, a payroll tax increase, mandated sustainable aviation fuel premiums, and the Iran war that froze bookings for weeks, and still printed an operating profit within 2% of the prior year while buying back 10% of its shares. It has a committed pipeline of 124 Airbus A321neos through 2035 ordered at COVID-era prices, a BoD that has announced 3 buyback programs totaling £600m within 15 months, and a customer franchise that consumer surveys rank alongside the best brands in the UK in any industry. In a base case, it appears reasonable that the stock returns close to 80% over 3 years, and a double if the multiple re-rates at all, with the downside protected by the earnings yield, the buyback, and a strong balance sheet.

The market files Jet2 under airlines and prices it accordingly, and I think that classification misses what actually drives the economics. Jet2 sells an integrated product (flight plus hotel plus transfers plus in-resort support, bundled and regulator-protected), collects deposits up to a year before it delivers the product and the balance in the weeks before travel, buys hotel rooms at 15-30% discounts to what you'd pay on Booking.com, and has spent 20 years converting fanatical customer service into repeat purchase behavior.

Business Description

Jet2 operates 2 brands off one aircraft fleet. Jet2holidays sells ATOL-protected package holidays from the UK to roughly 80 beach and city destinations across the Mediterranean, the Canaries, and Europe. Jet2.com sells the remaining seats as flight-only tickets. In the year ended March 2026 the group flew 20.83m passengers, of whom 6.62m were package holiday customers (63% of passengers, and a much larger share of revenue and profit). Revenue was £7.48bn, operating profit £439.6m, and profit before tax £551.0m.

For U.S. readers who've never encountered the product, the UK package holiday concept deserves a bit of an introduction. Around half of UK vacationers buy their annual trip abroad as a single bundle from a tour operator rather than assembling flights and hotels themselves. The habit is decades old and survives for rational reasons. The bundle is usually cheaper than the sum of its parts because operators contract hotel rooms in bulk at 15-20% below OTA rates, and deeper still when they guarantee the rooms. The purchase is also protected by ATOL, a government-backed scheme that makes the customer whole if the operator fails, which suddenly became an important consideration after Thomas Cook collapsed in September 2019 and stranded 150,000 people mid-holiday, and after COVID cancelled vacation plans en masse. The operator handles everything when something goes wrong, which in air travel is not a rare event.

Jet2 entered this market in 2007 as a side project of Dart Group, a Leeds-based aviation and distribution company run by founder Philip Meeson, who had bought the predecessor cargo airline back in 1983. It has since grown into the #1 UK tour operator, holding ATOL licenses for 7 million customers, about 20% of all licenses issued. Revenue has compounded at 19%/year over the past decade. 10-year return on capital employed is 15.7% excluding the 2 COVID years, and 16.4% on average since the pandemic. EPS is up 132% since 2019. Jet2 took share the hard way, opening bases one airport at a time across northern England and Scotland, then taking the customers Thomas Cook orphaned and the 3-star hotel inventory TUI walked away from as it moved upmarket. All of that growth was organic, as the company has never made a material acquisition.

The service reputation appears to be the moat, and it's unusually well documented for a claim of this type. In the January 2026 UK Customer Satisfaction Index, Jet2holidays ranked 5th among all UK organizations across every industry, and Jet2.com was the only airline in the top 50. TripAdvisor rates Jet2.com the best airline in the UK, the best in Europe, and #5 in the world. Which? has named Jet2holidays a Recommended Provider for 8 straight years in beach holidays, the only top-10 ATOL holder so recognized. Net promoter scores run in the mid-60s across both brands. The repeat booking rate is 59% across the group and 62% for package customers. Last year, the airline canceled 0.06% of its 123,000 flights. The culture behind this descends from Meeson, who was known for reading customer complaint emails personally, and it's carried on by CEO Steve Heapy, who has run the business day-to-day for over a decade and does the same. Jet2 employs its own ground handlers at UK bases so bags come off its planes first. It stations its own staff in resorts. It refunded every customer in full within days during COVID while competitors stalled for months, a decision that cost cash at the worst possible time and bought loyalty that still shows up in the numbers. Industry checks with hoteliers and former tour operator commercial staff keep coming back to the same points, which are that hotels prefer Jet2 because it pays on time, every time, which was emphatically not the norm with Thomas Cook or TUI, and that customer focus, where Jet2 shines, is the most important value proposition by a wide margin among what drives success in this business.

The integrated model also carries structural economics a standalone airline doesn't have. Package customers pay a deposit at booking, often 9-12 months before travel. Jet2 held £2.1bn of advance customer deposits at March 2026 and earned £141m of finance income on its cash during the year. Hotel procurement scales with volume, so the largest operator gets the best rates, sells the cheapest bundle, and attracts the most volume. And unlike the OTA

packagers (eg, On the Beach, loveholidays), Jet2 controls its own seat supply, so it can't be cut off by an airline the way Ryanair has repeatedly threatened the OTA channel, and it can flex durations, aircraft gauge, and destination mix in ways a middleman can't.

Capital Allocation Then vs. Now

This is the part of the story that changed, and it's the reason to own the stock now.

Under Meeson, Jet2 hoarded cash. As recently as 2022, buybacks weren't a subject management would entertain, and the board of that era wouldn't have either.

Chairman Phil Meeson stepped back in September 2023, apparently due to health concerns. A new chairman and refreshed board took over, and the posture flipped completely. During FY25, the company spent £399m repurchasing its convertible bond early and bought 11.3m shares into the employee trust to neutralize dilution. In April 2025 it announced its first ever buyback, £250m for cancellation. In November 2025 it added £100m. Across FY26 it repurchased and canceled 22.1m shares, 10.3% of the count, at an average price of £14.97, and completed the second program on May 1, 2026. Then in July 2026, alongside results, it announced a further £250m to complete by May 2027. Issued shares have gone from 214.7m to 190.9m in a little over a year. At the current price, the new program retires over 17m more shares, roughly 9% of today's count. When you add the dividend (16.9p declared for FY26, a 1.2% yield), the company returned £363m to holders last year, with a larger authorization now running.

Management's published framework also points to what could come soon. The medium-term leverage target is net debt / EBITDA below 2x on an Own Cash basis, with £600-700m of Own Cash as the floor at the low point of the annual cash cycle. Own Cash at March 2026 was £1.19bn. Free cash flow was £495m in FY26, and £659m in FY25, and that's after aircraft capex. The math suggests buybacks of this size are repeatable for years even while the fleet bill is paid, and the board has now acted 3 times in a row. Bottom line, the combination of a 15% earnings yield and a board willing to retire shares at this scale at this valuation was the driver of what made this investment more interesting than it has been in many years.

Balance Sheet

The £2.0bn of reported net cash it should be noted shouldn't be taken at face value. Conservatively, total cash and money market deposits at March 2026 were £3,292.5m. Of that, £2,104.8m was advance customer deposits, cash collected for holidays not yet flown. The company's own conservative metric, Own Cash, nets these out and stood at £1,187.7m. Against that sit borrowings of £581.7m and lease liabilities of £697.9m, almost all aircraft-related. So, on the harshest treatment, Own Cash minus all debt and leases, Jet2 is at net debt of £92m, effectively zero against £746m of EBITDA. The £500m revolver is undrawn and now runs to 2030.

This draws two conclusions. First, the enterprise value is the market cap, about £2.8bn, not the £0.7bn a screen shows. On that basis, the stock trades at 6.4x trailing EBIT and 3.8x EBITDA, still very cheap for this quality, just not comically so. Second, the float is nonetheless real economics. The deposit cycle funds the working capital of the tour operator and generated £141m of finance income last year. An acquirer of the whole company keeps that income, so a P/E on statutory earnings with zero credit for cash is internally consistent and is how I value it. As a caveat, finance income is rate-sensitive and already fell 21% year over year as UK rates came down, so it probably should be haircut going forward rather than capitalized at the current run rate.

Why does a company this liquid run any leverage at all? Because Japanese operating leases (JOLCOs) on new Airbus deliveries price at rates low enough that borrowing against aircraft while holding cash is positive carry, and because management watched what happened to every travel company that ran thin liquidity into COVID. Jet2 entered COVID with just over £0.5bn of Own Cash, far better capitalized than its competitors, and came out with its reputation enhanced and its 2 largest competitors wounded. Management appears to view the balance sheet as strategic capacity rather than lazy capital, and the COVID experience supports that view.

Growth

Jet2's growth for the next decade is unusually visible because it's written into an aircraft delivery schedule and shared in the company's investor presentations (which until several years ago the company never produced!).

In the depths of the pandemic, when Airbus was desperate for orders, Jet2 committed to what is now 146 firm A321neos, of which 124 remain for delivery through 2035. The pricing was struck before the post-COVID inflation in aircraft and engines too, and before the current supply squeeze, which means the company owns a delivery stream that competitors likely can't replicate at any price today. Management has laid out the fleet plan through Summer 2032: 139 aircraft today growing to 161, average gauge rising from 197 seats to 223 as neos replace 737-800s, and total seat capacity compounding at 4.4% a year. The neo carries 23% more seats than the plane it replaces, burns 20% less fuel per seat, and saves about £10 of cost per seat all-in. The company puts the annual saving at £190m by FY30 versus the current fleet mix on comparable flying. Against £440m of operating profit, that should be a material benefit to earnings growth that doesn't depend on demand.

The demand side of the growth story is the South of England, where Jet2's household penetration runs at one-third of its northern heartland, and the package holiday penetration of its customer base is far below the roughly 70% it achieves in the North. The company has spent 3 years methodically moving south. It has opened up airport bases in Bristol in 2021, then Liverpool, then Bournemouth in February 2025, then London Luton in April 2025, and in late March 2026 came the big one London Gatwick which is the largest beach and city leisure airport in the UK with 15 million people within an hour by road or rail.

To be clear, Gatwick slots are extremely difficult to obtain. A batch was unexpectedly released, and Jet2 took them. Management called it a once-in-a-generation opportunity without much exaggeration. The base opened with 6 aircraft, is performing ahead of plan with a richer package mix than expected, grows to 7 aircraft for Summer 2027, and is expected to be profitable in FY29. With this exists a free option: the DfT approved Gatwick's second runway in September 2025, which would lift the airport from 45m to 60m annual passengers in the early 2030s, and Jet2 is now an incumbent there with a committed aircraft pipeline while competitors are capacity-constrained.

The pattern at prior southern bases can be viewed as a playbook here. New bases are loss making for a year or two, which management has been candid about, while brand awareness builds. Bristol went from a standing start against an entrenched easyJet base to 8 aircraft. Stansted is at 16 against Ryanair. Luton and Bournemouth carried 730,000 passengers in year one and Luton capacity is up 30% for the current year. Layering 4.4% seat growth, mix-accretive southern expansion, £190m of unit cost tailwind, and package pricing that has compounded steadily (£900 average this year, up 3% in a soft market), the pre-buyback earnings equation appears to be mid-to-high single digit growth through the cycle, with share buybacks adding another 5-8% a year on top.

Current Setup

The shares peaked above £17 in mid-2025 and traded as low as £9.80 over the past year, driven by three developments.

First, the September 2025 AGM update spooked the market. UK consumers were booking later and shopping harder. Package customers were up only 2% year to date while flight-only passengers were up 17%, a mix shift toward the lower-margin product. Management reallocated marketing spend into price to keep planes full, trimmed winter capacity by 200,000 seats, and guided FY26 operating profit to the low end of the £449-496m consensus range. The stock fell roughly 15% that day. The final result of £439.6m came in 2% below the low end.

Second, the Iran War. Tensions escalating in late February 2026 caused UK holidaymakers to slow vacation bookings right at the start of the peak January-to-March booking season. Given the bookings deferred rather than disappeared, per management the demand came back strongly once the news calmed down, but the delay compressed H2 pricing and dented the working capital inflow.

Third, the UK economy, which is the worry that Jet2 is a 100% UK consumer discretionary business with high operating leverage heading into a weak UK consumer environment. Employer National Insurance increases and SAF mandates added £50m of cost in FY26 alone which wasn't great.

Jet2's recent FY26 preliminary results appeared to look a lot better than what many feared based on the above concerns. Revenue was up 4% to a record £7.48bn, Jet2 saw record passengers, average package price was up 3% to £900 even as Jet2 invested in price, and operating margin came in at 5.9% versus 6.2% the prior year even after absorbing £11m of Gatwick startup losses and the £50m of new taxes and fuel mandates. Basic EPS was 211.2p, down less than 1%, and diluted EPS was up 1%. Meanwhile, Summer 2026 is on sale with capacity up 7.7%, booked passengers up 7.1%, and load factor running 1.2 points ahead of last year. A flat result for this past year I see as not bad, backdrop considered!

On the consumer point specifically, one important point to make is that 20 years of evidence suggest the British holiday is closer to a staple than a discretionary purchase. Customers trade down from 2 weeks to 1 week, or from 5 stars to 4 stars, before they give up the trip. Jet2's base skews toward over-50s with retirement income, and 33% of its customers are classified as affluent achievers versus 22% of the UK population. Demand didn't crack in the inflation squeeze of 2022-23, which produced record results, and it hasn't cracked now. What actually moves the income statement in soft patches is mix and price investment.

As for why the mispricing persists, reasons could include the airline classification itself in a region where airlines are reflexively shorted on macro, a UK-skewed register at a time when UK equities trade at a generational discount and domestic outflows persist, and a capital allocation regime change that is barely a year old, so the market is still pricing Meeson-era cash hoarding into a company that has already canceled a tenth of itself and just re-upped. Meeson's remaining 14.4% stake and AIM's partial inheritance tax exemption help explain why the company remains AIM's largest constituent rather than a FTSE 250 member, and an eventual Main Market move is a plausible re-rating path. Without trying to be morbid, it could be speculated that, with Meeson in poor health, his family would benefit from the AIM inheritance tax discount, after which this reason would be removed from Jet2's consideration to potentially uplist to the LSE. Jet2 is currently the largest AIM-listed company.

Valuation

Jet2 currently carries a £2.74bn market cap and earned net income of £410.5m after tax this past year, which featured a war-induced booking freeze, a payroll tax hike, and a material startup base in Gatwick. Today's price is 6.7x earnings, 6.9x on trailing diluted EPS, and 6.4x EV/EBIT before giving any credit to the float. Adjusting only for the shares already canceled since the fiscal year end, the multiple on current-count EPS is closer to 6.4x. Jet2 also paid a FY26 dividend of 16.9p.

In a base case, it appears reasonable that seats compound at ~4.5% to about 27m by FY29, that operating profit per seat recovers from £18.3 this year toward the £20-21 achieved in FY25 as neo savings ramp, Gatwick turns profitable, and price investment normalizes, and that operating profit lands around £560m. With finance income haircut to £70m and a 25% tax rate, that'd imply roughly £470m of net income. If buybacks continue at even a reduced £150m annual pace after the current program, the share count would be near 165m and EPS about 285p. At a future P/E 9x, undemanding against the pre-COVID rating and the quality of the franchise, the stock would be worth an implied £25-26/sh, or close to 80% upside over 3 years before around 55p of cumulative dividends, for a low-20s% IRR. That case requires no multiple expansion beyond 9x and gives no credit for the second runway, for a 2027 pricing step-up that industry contacts increasingly expect, or for an LSE uplisting and FTSE 250 inclusion, any of which could push the outcome past a double at a 10-11x multiple.

Risks

One of the two primary risks is the UK consumer and the operating leverage under a largely fixed cost base. In a genuine UK recession, load factor deleverage and price investment could cut operating profit 30-35% from FY26 levels, to roughly £285m at the trough. With finance income falling to £80m as rates get cut, trough EPS would be around 150p on about 180m shares if the board paused buybacks after the current program, and at 8x trough earnings the stock would sit near £12, down about 15%, before recovering with more market share than it entered with, which is what happened in 2019 and again through COVID. Milder versions of the same mechanism could happen without any recession at all. After 2 strong years, competitors added seats into the UK-to-Mediterranean market faster than demand grew, which is exactly what produced the 2025-26 price investment, and that supply cycle can cost a year of margin at any time even though it has always resolved through moderating capacity growth.

The other primary risk is the Iran War. While the outcome and timing are close to impossible to predict, a jet fuel rationing scenario among the UK and/or Europe can't be written off. The Houthis just began attacking ships in the Red Sea passage, which could lead to a worst-case scenario if activity in both middle east oil tanker supply routes grind to a halt. Fuel rationing would be a blow to many companies and industries, of which consumer discretionary airlines would likely be included. At the same time, should the share price dip back to £10 or lower, this could provide for long-term opportunity in Jet2 shares should the Iran War's impact on oil prices eventually subside.

The credible competitive threat to Jet2 is easyJet holidays, which appears to be growing customers around 25% a year off a UK package share still in the high single digits, is structurally strongest at Gatwick where Jet2 is the newcomer, and operates in a southern market where customers package at much lower rates than in the North. Industry checks suggest easyJet wins the purely price-driven customer while Jet2 wins on service and hotel quality, and the market is growing enough to feed both, but Gatwick load factors and package mix are the metrics to monitor, particularly since new bases are modestly loss-making for their first year or two and a slow ramp in a contested catchment could push the FY29 profitability target out.

The cost and regulatory ratchet creep, which at a broader level applies to most UK companies, is a risk worth watching. The UK SAF mandate steps from 2% in 2025 toward 10% in 2030 and 22% by 2040, ETS free allowances shrink, airport and air traffic charges keep rising, and the government showed in 2025 that payroll taxes can jump £18m at a stroke, so the £190m of neo savings are partly an offset to this ratchet rather than pure upside. Airbus delivery delays already forced bridging capacity in 2025 and could slow the savings ramp, though they also tighten industry capacity, which supports pricing. Finance income of £141m rides on rates and is likely to keep declining. And a long-running CAA review of ATOL could eventually require tighter segregation of customer money, which would mainly affect finance income and flexibility given the Own Cash framework already treats deposits as not the company's, but it's the tail risk to the balance sheet story.

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Catalyst

AGM trading update on September 3, 2026 against an easy comparison with last year's warning, H1 FY27 results in November, completion of the £250m buyback by May 2027 and the BoD's decision on the next program, Gatwick expansion announcements for Summer 2027, and a potential eventual LSE uplisting with FTSE 250 inclusion.

Messages

Subject Questions
Entry 07/23/2026 03:58 PM
Member avalon216

Hi moneytr33 - nice writeup, I thought you summarized it well. I own Jet2 and have followed it a long time. Curious how you think about these points:

1. P/E - what is the right multiple? I understand it is travel and has traded at a low multiple, but at face value the market trades at 20-25x and Jet2 has in line / better growth, much better balance sheet, imo a great mgmt team, market leading position, customer retention etc. So I get it is volatile, conditions are hard right now, and it should trade at a discount but is 35-50% of a market multiple really right? Why couldn't this trade at 15x, there have been times pre-Covid when it did this?
2. Aircraft order - have you tried to figure out the ROIIC on this? At face value ROIIC looks HSD/LDD which I think bears point to for increasing competition / worsening room to deploy capital (and the easyJet growth feeds into that narrative) but I think you have to consider much of the existing fleet would have retired in the next 5 years or so, which means you have to look at incremental EBIT vs a declining fleet not against a steady state. You also touched on this, but the £10 per seat saving is material but I don't know anyone who assumes higher (cash) margins going forwards, which means we're booking all the capex as a cash investment but not the higher margin as a return on that.
3. Customer retention keeps improving - any thoughts on this? They're now at 60%+ retention on a 2 year basis vs TUI at 40%, which is a gap that is growing. If you look at myJet2 memberships and the various metrics they provide it seems clear their loyalty advantage over competitors keeps improving. At some point this should translate into better economics like lower marketing spend and therefore higher margins. Again I don't know anyone who assumes that going forwards. We're in a tough part of the cycle right now but at some point these underlying improvements should convert to better economics?

Thanks and I enjoyed your writeup.

Subject Why is this a good business
Entry 07/24/2026 09:44 AM
Member liverpoolstocks

Thanks for the writeup!

I question why packaged holidays aren't comoditised, you mentioned easy jet but what about others e.g. Booking and Tripadvisor replicating the package holiday biz in a more tech-enabled way in nthe hope of sky-high ROICs.

Yes this is cheap but is 7x really enough of a bargain if their best biz (package holidays) could be structurally challenged.

I welcome any rebutall!

Subject Re: Why is this a good business
Entry 07/24/2026 10:08 AM
Member starfox02

If you have access to expert calls, I think those address this pretty well. Summarily, Jet2 controls and is responsible for the customer experience end to end. That's what creates the excellent customer experience, NPS etc. An aggregator can't do that... If flights are canceled, now you're dealing with Ryanair customer service. Meanwhile, jet2 has staff at the destination hotels to help customers with any issues. A bit hard for me to understand from the US, but the UK Holiday is highly valued... to the point people would cut heating their home in the winter before it.

Ultimately it's not dissimilar to why you or I might be willing to spend more to buy a large, important purchase through Amazon vs some random website offering \$50 or \$100 off. Is that savings worth the hassle if something goes wrong, vs the usually free and painless Amazon return experience? There's always a market for the cheapest, no frills product, but Jet2 is selling peace of mind and a fantastic experience at a very affordable price.

Also, the ROIC / margin probably isn't as strong for everyone else without the vertical integration and volume benefits. Booking already sells hotel rooms. You can't make much of a margin / markup reselling flights... and these companies have existed for a long time. If it was easy, jet2 would've lost share to then a long time ago

Subject Re: Why is this a good business
Entry 07/24/2026 10:09 AM
Member katana

Liverpool, I will try to save you some time. A decent number of VIC members have known Jet2 for many years. It has 11 write-ups going back to 2011, mostly under its prior name Dart Group / DTG. It has clearly proven itself over those 15 years to be a good business, full stop. Go skim several of those prior write-ups and look at the long term stock chart if you want detailed convincing.

The only real question is when to own the stock, because it is an airline / travel business, albeit a great one as those things go, so still fairly cyclical. I myself owned it for years back in the day, but these days I refuse to own anything in the UK, certainly not a macro-sensitive cyclical, until the country pulls itself out of its steady self-inflicted multi-faceted structural economic decline. I don't expect UK voters to, shall we say, pull the plane out of its nosedive for at least another several years.

If your VIC handle is based on geographic reality: Sorry. Diversify like crazy out of your home market.

Subject Re: Why is this a good business

Entry 07/24/2026 12:00 PM
Member roojoo

It is a really good growth story if you are transitioning from being an airline to a package holiday company. Going from 20% package holidays to 80% is very capital light growth.

The story is completely different if you are already at 80% and you have to grow by buying airplanes. It gets worse if your percentage of package holidays declines a little bit because you have to fill up those airplanes (even if you blame it on late booking patterns).

Subject Re: Re: Why is this a good business
Entry 07/24/2026 02:46 PM
Member starfox02

I agree that their incremental ROIC will be worse than consolidated ROIC as the benefit of depreciated planes rolls off - they made hay with the legacy old 737s and that world is now gone. That said, I don't think your latter statement is accurate and I'd love to hear your justification. They have a slide (I don't have it in front of me right now) that shows the low/high capacity scenarios and they have a lot of flexibility to sell older planes earlier (likely for a lot of money, see AerCap gains on sale as Aengus laughs all the way to the bank).

IIIRC they actually have a handful of expensive wet leases right now because of Gatwick expansion/etc that will go away in a couple years as they get deliveries, so setting aside the neo improvements to CASM (which I do think will be competed away*, unlike some bulls) they will still at least get those yucky leases out of the cost structure?

it's a smart mgmt team and I don't think they're going to blindly add capacity into a softer market if it comes to that - they clearly prioritize margin over top-line and they also clearly (as moneytree points out) have found religion on the buyback so I don't see why (in the downside scenario) they wouldn't just de-fleet to some degree (essentially keeping seats flat to slightly growing given upgauging of 321neos) and plow the proceeds into repurchases.

Also, just like buying a new car, they're kind of going from the cheap/old part of the curve to the brand spanking new part but post 2031 or so (admittedly a little out of many people's investment horizon) they should gush free cash as they can let the fleet age a bit and probably underspend depreciation for a while (if not growing) or just spend at depreciation levels (even if growing capacity).

*To liverpool's question, they don't have infinite pricing power and it's still a competitive industry. everyone is upgrading their fleet so in the classic Berkshire Hathaway mold, if all the textile mills buy more efficient looms, nobody really benefits. so I have a hard time believing they will capture any of the benefits from 321neo fuel efficiency since it is an industry-wide and not jet2-specific benefit.

Subject Three questions.
Entry 07/25/2026 05:53 AM
Member erst1071

How will they exactly finance the new planes? Is it a mix of own debt and leasing? You do not seem to include increased depreciation and interest costs in your earnings estimates. Any reason for this?

isn't 4% cagr new capacity into this market a bit high? Is really packaged holiday a growing market?

Anyone know roughly how much "in the money" their plane orders are? The bears seem to point to this as a liability, but the bulls claim it's an asset. However, I haven't seen any numbers from either side.

Subject Re: Re: Why is this a good business
Entry 07/26/2026 05:13 AM
Member seb1991

With all due respect katana – but this is a poor answer to a perfectly fine question asked by liverpoolstocks

Jet2 was written extensively by VIC because it is cheap and long benefited from a #1-3 position with little scaled competition.

However, competition dynamic today is changing and intensifying. While Jet2 is still gaining m/s, it grows slower vs peers. Check the ATOL license data below.

#	2019	%	#	2026	%
1	TUI UK Ltd	5,678,163 30%	1	Jet2holidays Ltd	7,043,718 25%
2	Jet2holidays Ltd	3,810,320 20%	2	TUI UK Ltd	5,942,801 21%
3	Thomas Cook Tour Operations Ltd	2,471,042 13%	3	We Love Holidays Ltd	5,520,145 19%
4	On the Beach Travel Limited	1,646,800 9%	4	easyJet Holidays Ltd	3,455,570 12%
5	We Love Holidays Limited	630,188 3%	5	On the Beach Travel Limited	2,533,150 9%
6	On The Beach Ltd	1,205,480 6%	6	British Airways Holidays Ltd	1,178,956 4%
7	Expedia Group, Inc	1,178,450 6%	7	Booking.com B.V.	1,114,151 4%
8	British Airways Holidays Ltd	939,802 5%	8	BravoNext SA	732,024 3%
9	easyJet Airline Company Ltd	705,020 4%	9	Marella Cruises Limited	423,657 1%
10	We Love Holidays Limited	630,188 3%	10	Expedia Group, Inc	421,563 1%
	Top 10	18,895,453 100%		Top 10	28,365,735 100%

Clearly, We Love Holidays+ easyJet are gaining m/s shares quickly. Noting that Jet2 increased its m/s also inorganically through its partial acquisition of Thomas Cook.

Citing high m/s in the past is a poor justification for investing today.

I understand that customer satisfaction score might be high for Jet2 but this is hardly a durable moat as packaging holidays are commoditized. The fact that there are more than 1,5k eligible package holiday providers in the UK confirms it.

I did however enjoy reading the write-up. Agree that Jet2 is cheap despite the fact above.